



China: A shock absorber for global oil markets amid the Iran war (for now)

In reaction to the closure of the Strait of Hormuz since late February 2026, China reduced its oil imports by 30.3% y-o-y (in volume) in Q2 and 41.3% in June. China now is widely regarded as being the major shock absorber not only because it is the world's largest crude oil importer, but also because it holds the world's biggest strategic petroleum reserves (SPR) of around 1,250mb at end-2025, significantly higher than the US, which has the second highest level of reserves of 413mb. Supported by this substantial SPR, which is equivalent to around 112 days of net oil imports, China could afford to slash its oil imports during one of the worst energy crises in recent decades, helping contain global oil prices. We estimate that China has already drawn down 19% of its SPR by end-June and could gradually increase its oil imports, whenever oil prices fall back to comfortable levels. For global oil markets there is a risk that a sustained energy crisis could push China to ramp up its oil imports, worsening the shortage and mounting additional pressure on oil prices.

Examining potential ways that China could cut oil imports

There has been no evidence of a sudden rise in domestic oil production or electricity consumption. Export bans on some fuels might only explain a very small drop in oil imports. Unlike governments in several other Asian countries, Beijing has so far not resorted to rationing. Fuel demand was not significantly suppressed in Q2 by higher prices. In Q2, growth in retail sales of fuel was -4.9% y-o-y, which was even a bit higher than the -6.4% in Q1 and -5.7% in 2025.

China's strategic petroleum reserve (SPR)

China launched its SPR programme in 2004 to offset supply risks and cushion the domestic market from global price swings. Over the two decades since, the system has developed substantially, comprising a government SPR, alongside commercial inventories held by the national oil companies. There is strong evidence that China sped up stockpiling of oil in the lead-up to the Iran war. We use the end of 2025 as our cut-off, which is about one quarter before the Iran war. Various estimates point to around 1.2-1.3bn barrels of SPR held by both the government and its SOEs at end-2025, covering around 112 days of its net crude imports.

To what extent China has drawn down its SPR?

We estimate China's SPR rose 85mb in Q1 and was then drawn down by 320mb in Q2. The biggest drawdown took place in June, when the SPR was drawn down by 151mb. Overall, China's SPR dropped from an estimated 1,250mb at end-2025 to 1,015mb at end-June. Based on the speed of the drawdown in June, China's SPR can last another 6.7 months. A cautious Beijing will tend to increase oil imports when oil prices fall back to comfortable levels. High frequency data in July already point to a sequential rise in oil imports, which were most likely purchased during late-May and June when Brent oil prices dropped to below USD90 per barrel. We reckon China will significantly increase its oil imports to replenish its SPR when Brent prices return to below USD60 per barrel.

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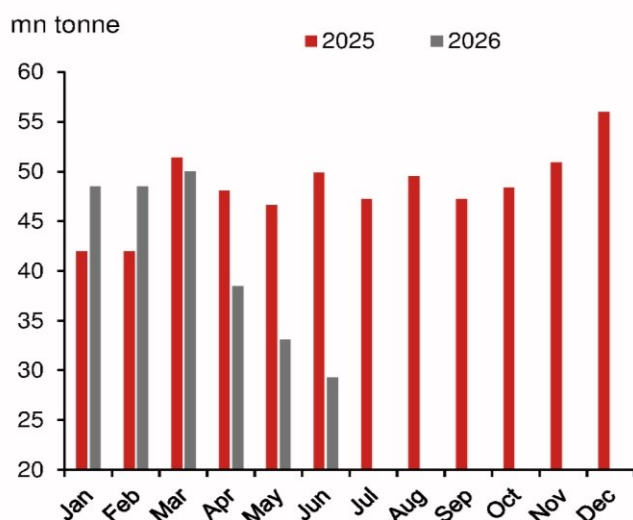
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China's oil imports during the Iran war

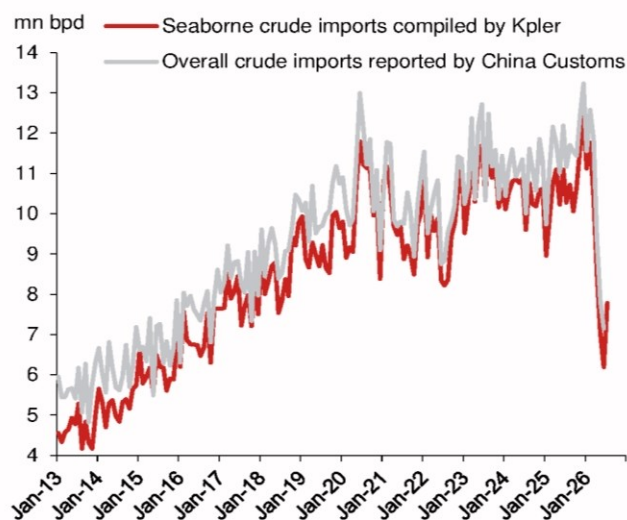
China is the world's second largest oil consumer and by far the biggest importer. In 2025, China's total crude oil imports rose 4.9% to 11.6 million barrels per day (mbpd), driven mainly by late-year stockpiling. The 11.6mbpd in imports accounted for 73% of China's own total consumption and 10.9% of global total output. Around half of China's oil imports transited through the Strait of Hormuz (SoH) before the Iran war, which broke out on 28 February 2026. In reaction to the outbreak of the Iran war, China has cut its oil imports sharply via both its national SPR and state-owned refiners. Year-on-year oil import growth fell sharply from 15.6% in January-February to -2.8%, -20.0%, -29.0% and -41.3% in March, April, May and June, respectively (Figure 1).

Fig. 1: Import volumes of crude oil



Source: Wind, Nomura Global Economics.

Fig. 2: Monthly import volumes of crude oil



Source: Kepler, China Customs, Wind, Nomura Global Economics.

Before the Iran war, roughly about 15mbpd of crude oil, about 25% of the world's total daily petroleum trade, transited through the SoH, with China accounting for around 39% of the 15mbpd. In June, oil transiting through the SoH recovered to around 4.8mbpd following a mid-June US-Iran agreement, though still down 68.0% from normal levels. For China, its crude oil imports via the SoH plunged by 86.2% in June, significantly helping contain global oil prices.

There are a few potential channels that China can use to cut its oil imports, including drawing down its SPR, replacing fuel with electricity, which is generated by non-fuel sources, raising fuel prices to suppress demand, limiting or rationing domestic fuel consumption and restricting exports of oil or fuel. Unlike governments in several other Asian countries, so far Beijing has not resorted to rationing. Beijing has hiked fuel prices several times (also cut prices when crude oil prices declined), with fuel prices surging in March-May and returning to levels seen at end-February 2026. We do not think fuel demand was significantly suppressed in Q2 by higher prices. This is because growth in retail sales of fuel in Q2 was -4.9% y-o-y, which was even a bit higher than the -6.4% in Q1 and -5.7% in 2025. The steady decline in fuel consumption was largely a result of slower economic growth and an increasingly wider adoption of electric vehicles. Meanwhile, there has been no evidence of a sudden rise in domestic oil production or electricity consumption. Finally, export bans on some fuels may only explain a very small drop in oil imports.

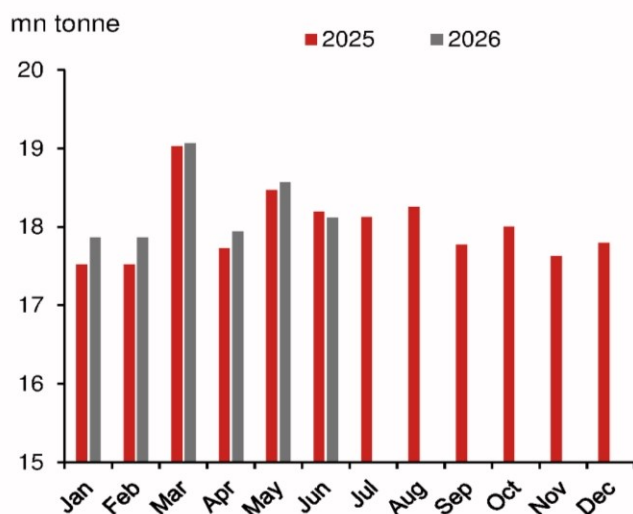
No surge in domestic oil output

According to the NBS, volume growth in crude oil production has remained stable following the outbreak of the conflict in the Middle East. Volume growth in domestic crude oil production even slowed to 0.4% y-o-y in Q2 from 1.3% in Q1. In absolute terms, domestic output in Q2 increased by only 0.2 million tonnes from its year earlier level, down from the 0.7 million tonnes rise in Q1 (Figure 3). Meanwhile, crude oil import volumes in Q2 plunged by 43 million tonnes from their year earlier level, contrasting sharply with the

12 million tonnes increase in Q1. Stable domestic oil production suggests China's oil companies are unable to increase output to offset the large shortfall from imports.

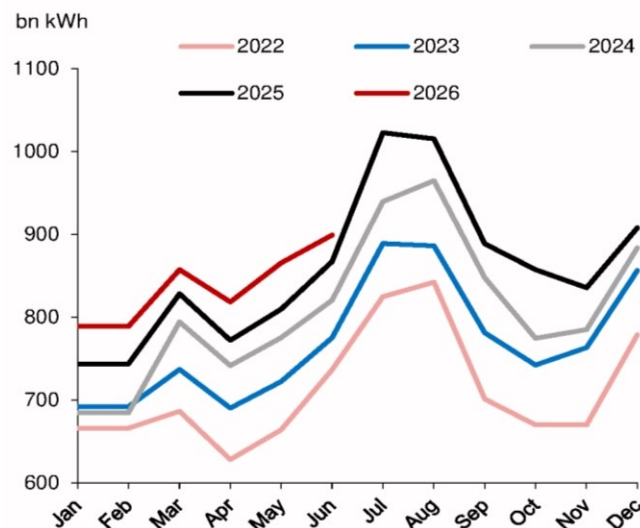
With a 73% import dependency ratio on crude oil imports, China's ability to substitute imports with domestic production remains constrained by geological and operational limitations. Despite sustained state-backed efforts to bolster energy security, domestic crude oil output has plateaued over the past decade. Mature onshore fields now require increasingly intensive and costly reservoir management to maintain stable production. According to the NBS, total annual production has hovered around 216mn tonnes since 2025, barely changed from 215mn tonnes in 2015.

Fig. 3: Output volumes of crude oil



Note: We use Jan-Feb average to smooth out CNY distortions.
Source: Wind, Nomura Global Economics.

Fig. 4: Electricity consumption



Note: We use the average of January-February data to largely smooth out the CNY distortions.
Source: NEA, Wind, Nomura Global Economics.

Electrification cannot provide a quick offset

While some argue that rapid electrification could mitigate the effects of a crude oil price shock through replacing oil with electricity, we believe the transition to electric power is a multiyear structural shift rather than a short-term tactical buffer. There has not been any significant surge in the growth of electricity consumption or power generation. According to NBS data, growth in electricity consumption remained stable at 5.5% y-o-y in Q2, marginally down from 5.6% in Q1 (Figure 4), while growth in electricity generation slowed to 2.9% y-o-y in Q2 from 3.8% in Q1.

The substitution effect of oil by electricity is most pronounced in the auto sector, where household adoption of electric vehicles (EVs) accelerated at a faster pace amid rising retail petrol prices. According to the China Passenger Car Association (CPCA), EV penetration in the domestic passenger car market surged from 45% in Q1 to 62% in Q2. This rapid adoption naturally drives electricity demand for EV charging. However, power consumption for EV charging accounts for less than 2% of total national electricity consumption, according to the National Energy Administration (NEA). Consequently, growth in total electricity consumption has remained relatively stable, and the replacement of demand for refueling with petrol with electric charging is far from sufficient to absorb the sudden oil supply shocks.

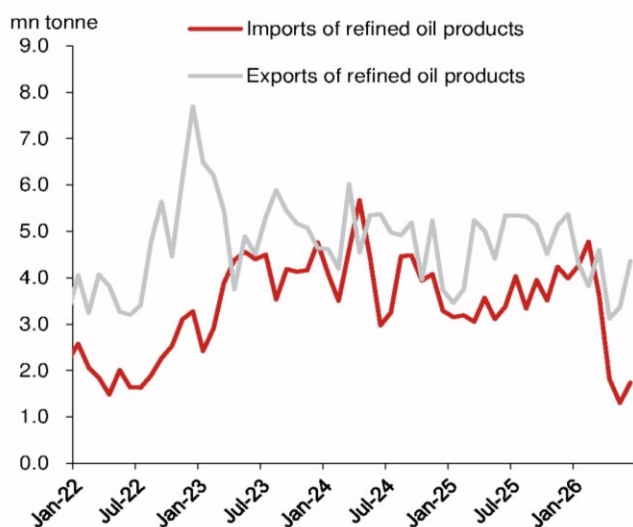
Refined oil products since the March 2026 export restrictions were imposed

Beijing has reportedly suspended exports of refined oil products in response to the prolonged shutdown of the Strait of Hormuz (Source: *Reuters*). We estimate the crude oil used to produce refined oil products for export has been running at 1.5-2.1mbpd, which equates to 9.4-13.2% of China's apparent crude petroleum consumption, or 12.8-18.0% of total crude imports. In 2025, China held about 3.7% of global fuel exports and ranked ninth among world exporters. Jet fuel accounted for nearly 40% of China's refined oil product

exports in 2025. As China is a net refined fuel exporter, under the extreme scenario of a China implementing a full ban on fuel exports and assuming almost full bans of fuel exports imposed by other countries except Russia, we estimate China can reduce its crude oil imports by 2.8% without affecting its domestic fuel supply.

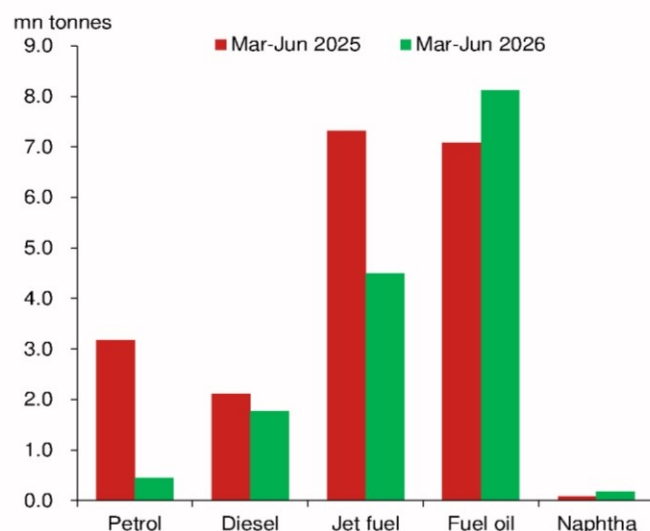
China's fuel exports did drop by 26.5% y-o-y in Q2 which compares with growth of 2.3% in Q1. In theory, such a drop could offset around 4.0% of China's oil imports. That "4.0%" is relevant for explaining the 30.3% drop in crude oil imports. However, due to the closure of SoH and other countries' export restrictions, China's fuel imports plunged by 51.8% y-o-y in Q2 from growth of 35.0% in Q1, meaning Chinese consumers must have either drawn down their fuel reserves or have relied more on processing of crude oil (Figure 5). In 2025, fuel imports were equivalent to 73.3% of fuel exports by volume, or equivalent to around 11.0% of China's crude oil imports, accordingly, the 51.8% y-o-y slump in fuel imports in Q2 was equivalent to a 5.7% drop of China's oil imports. In sum, despite Beijing's export ban on some fuels (Figure 6), China was still faced with net outflows of fuel, which was equivalent to around 1.7% of China's oil imports.

Fig. 5: Monthly trade of refined oil products



Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 6: Exports of different fuels



Source: General Administration of Customs, Wind, Nomura Global Economics

China's strategic petroleum reserve

China is widely believed to have the world's largest strategic petroleum reserves (SPR), but official data on Beijing's SPR data are not published. We take the end of 2025 as our cut-off, one quarter before the start of the Iran war. Various estimates point to around 1.2-1.3bn barrels of SPR held by both the government and its SOEs at end-2025, which covers about 112 days of its net crude imports. As Beijing has direct controls of oil reserves of those major oil companies, which are mostly state owned, we count "commercial reserves" as part of China's SPR.

China launched its SPR programme in 2004 to offset supply risks and cushion the domestic market from global price swings. The original bases, concentrated along the eastern and southern coast in Shandong, Zhejiang and Liaoning, were initially designed to hold roughly 30 days of imports. Over the two decades since, the system has developed substantially and is today considerably larger and structurally different, comprising a government SPR, alongside commercial inventories held by the national oil companies, which since 2024 have been directed to add emergency crude oil to their commercial tanks and now function as a de facto second strategic layer.

There is strong evidence that China sped up stockpiling of oil in the lead-up to the Iran war. From Q2 2025 to Q1 2026, China's oil import growth quickened to 4.6%, 5.1%, 10.0% and 8.6% y-o-y, respectively from -1.9% in 2024 and -1.5% in Q1 2025.

Estimates point to 1.2-1.3bn barrels of reserves held by Beijing before the war

When we consolidate third-party estimates onto a comparable basis, namely total onshore crude inventories, both commercial and strategic, as of end-2025, the readings range

between roughly 1.1bn and 1.4bn barrels around a central estimate of 1.2-1.3bn. Kpler places onshore stocks at about 1.2bn barrels following a build of around 100mn barrels during 2025, while Vortexa estimates that China's onshore inventories, excluding underground storage, reached a record of approximately 1.13bn barrels by year-end 2025. The US Energy Information Administration (EIA), on its broadest measure and the only one that explicitly includes commercial stocks, puts the total at nearly 1.4bn barrels, and the Oxford Institute for Energy Studies frames it at 1.1-1.3 bn, a range it derives largely from the Kpler and Vortexa figures rather than from an independent estimate. Because each source captures a modestly different mix of government, commercial, onshore and underground storage, we think the divergence is largely definitional, and the consolidated central estimate of 1.2-1.3bn barrels offers the most useful basis for comparison. These stocks were also built up actively rather than passively, at an average pace of about 1.1mn barrels a day through 2025 on the EIA's estimate.

Globally largest at aggregate level but modest in terms of days of coverage

Set against other major economies, the level of cover stands above the IEA's 90-day minimum but remains well short of China's principal Asian peers. Japan and South Korea, both IEA members, hold reserves equivalent to roughly 200 and 208 days of net imports respectively, on figures published by the IEA. The measure is expressed in net imports, meaning imports less exports of crude and products, which is why South Korea in particular screens so high, as it imports large volumes of crude oil but re-exports much of it as a refined product, leaving its net import requirement small relative to its stocks.

For China, which is not an IEA member, we estimate that the reported aggregate crude reserve indicates just over 100 days of net crude imports. According to data from the General Administration of Customs (GAC), China exported 4.3mn tonnes of crude petroleum and 58.0mn tonnes of refined oil products in 2025, while it imported 577.7mn tonnes of crude petroleum and 42.4mn tonnes of refined oil products. This implies that China's combined exports of crude oil and refined products were around 10% of its imports in 2025. This also translates to around 11.2mn bpd of net crude oil and product imports on average in 2025.

The US is measured on an absolute basis only, because it is now a net oil exporter and a days-of-net-imports figure is not meaningful for it, and even so its SPR continues to have the world's largest single stockpile at about 411mn barrels against a capacity of 714mn at end-2025, before any account is taken of commercial inventories.

The strategic conclusion is that Beijing entered the Iran war with by far the largest absolute stockpile, deliberately accumulated through 2025, yet on a days-of-cover basis its buffer of roughly 100 days remains smaller than Japan's 200 days or South Korea's 208. This combination of a vast but proportionally modest reserve, in a country that imports close to three-quarters of its oil, may be why energy security rather than price has shaped Beijing's response to the crisis, from the sharp cuts in crude oil imports through to the fuel-export restrictions examined in this report.

Box 1: The IEA's coordinated drawdown

On 11 March 2026, the 32 member countries of the International Energy Agency (IEA) agreed to release 400mn barrels from strategic reserves, the largest coordinated draw down in the agency's history and only the sixth ever, following those of 1991, 2005, 2011 and the two releases of 2022. For a sense of scale, it is more than double the 182mn barrels released after Russia's 2022 war against Ukraine. The US led the contributions with 172mn barrels over the year, alongside Japan with 80mn, South Korea with a record 22.5mn, the UK with 13.5mn and Spain with 11.5mn, among others.

Execution has been steady but measured. The US had released about 17.5mn barrels by the end of April, leaving its SPR near 398mn barrels. By June, global observed oil inventories rose for the first time in four months, by 21mn barrels, as flows through the Strait of Hormuz partially and temporarily normalised (before the latest setback), which suggests that the release, combined with easing transit, was beginning to modestly loosen balances. The remaining firepower is real but finite, as IEA members hold roughly 1.8bn barrels of public and industry stocks in total, so the 400mn barrel programme represents about one-fifth of the pool and any further drawdowns would erode the 90 days of cover the system is designed to protect. Against the IEA's estimate that the war could remove as much as 8mn barrels a day of supply, a coordinated release can smooth a shock but cannot substitute for the restoration of Gulf flows over a prolonged disruption.

To what extent China has drawn down its SPR?

China's crude oil import growth averaged 1.8% in the five years between the pre-pandemic 2019 and 2024. The pace picked up to 4.3% in 2025 thanks to a surge in November and December 2025. Let's assume China's SPR was 1.25bn barrels at end-2025, and a normal pace of oil imports without adding SPR is at zero (it's reasonable because oil import growth was already down at 1.9% from 2023 to 2024). Based on these assumptions, China's SPR rose 85mb in Q1 and then was drawn down by 320mb in Q2. The biggest drawdown took place in June, when the SPR was drawn down by 151mb. Overall, China's SPR dropped from an estimated 1,250mb at end-2025 to 1,015mb at end-June. Based on the pace of drawdown in June, China's SPR can probably last another 6.7 months.

We estimate that China has already drawn down 19% of its SPR by end-June and still has the capacity to absorb some big shocks. However, a cautious Beijing will tend to increase oil imports whenever oil prices fall back to comfortable levels. High frequency data in July have already pointed to a rise in oil imports (Figure 2), which were most likely purchased during late-May and June when Brent oil prices dropped to below USD90 per barrel. We reckon China will significantly raise its oil imports for replenishing its SPR when Brent prices return to below USD60 per barrel.

Appendix A-1

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